



**LOCAL  
ACTION**

# PROCUREMENT GUIDELINES FOR CITIES

WORKING GROUP RECOMMENDATIONS



This document is the outcome of the UNDP working group on "Procurement in Cities," which convened throughout 2024. The group's objective was to bring together international experts to explore how municipalities procure services and goods in their respective cities, learn from past experiences, identify emerging trends, and develop specific solutions for more inclusive and efficient local procurement. This guideline outlines some **DOs and DON'Ts to be considered for effective procurement in cities, focusing on** procurement preparation and planning, selecting the right counterpart, managing contracts, and incorporating sustainability into the procurement process. It aims to enhance procurement efficiency, reduce costs, and ensure the acquisition of high-quality goods and services.

Local governments are responsible for a significant portion of the services that residents need in cities. For example, in some countries like Brazil, up to [80%](#) of all public contracting is done by subnational governments (~40 percent of this by cities/municipalities governments). These include waste collection, providing clean water, maintaining clean streets and lighting, managing green spaces, schools, health centres, and increasing range of digital services that must adapt to rapidly evolving technological advancements.

Municipalities / local governments often need to outsource many of their services to the private sector, regardless of their location or capacity. Managing public contracts is inherently challenging. The level of decentralization in a country can be beneficial if the city has the necessary legal framework and human resources to procure goods and services effectively.

However, national procurement legislation might be outdated, or it does not respond to the changing needs of local governments. For instance, national procurement laws and regulations are often crafted for ministries or national departments, focusing on large companies and substantial contracts. In contrast, local government processes are typically much smaller in scale and may lack adequate local competition. Other challenges lie in the rapid evolution of technology, the types of construction materials, and the management of services through digital means etc.

Many procurement regulations have been designed primarily for "buying" or "building" and are not suited for more complex management systems that must take into account energy efficiency, environmental impact, inclusion of those who need it the most, and the future maintenance costs of services and infrastructure.

This procurement guidelines serve as a roadmap to the UNDP vision, laying the groundwork for equitable practices that uplift every voice. By actively engaging diverse businesses, cities can tap into a wealth of perspectives and ideas that reflect the needs and aspirations of their community.

Over the past five decades, UNDP has gained extensive experience procuring goods and services for municipalities, assisting local governments worldwide in delivering essential services to their citizens. In many countries, UNDP procures services on their behalf, sometimes in fragile and post-conflict contexts where procuring services such as food or health supplies can be urgent, as well as day-to-day essential services. Public procurement is vital for sustainable development, the way contracts are established significantly affects the quality of life of the people, and often have severe consequences on elected officials if they go wrong.

Public procurement can also be used to promote sustainable development policies, by utilizing criteria that looks beyond lowest price. For example, promoting women owned businesses, climate neutral companies, social enterprises, etc.

Contracts are also very important in terms of transparency and prevention of corruption. Increasingly, open local government initiatives are being utilized to enhance citizen participation in the negotiation of contracts for essential public services, fostering transparency while also considering the perspectives of end users. Procurement offers a significant opportunity to address the needs of those who require support the most. The procurement of public services, construction, or goods can also be a political process. Cities may make decisions not only based on the principle of "value for money" but also to allocate resources to specific groups that have historically been marginalized / left behind and require additional support to catch up.



In today's increasingly diverse society, fostering an inclusive culture is essential for the success of our city. Promoting a city-wide commitment to diversity and inclusion in all business dealings not only enhances economic opportunities but also enriches our community fabric.

Encouraging joint ventures and subcontracting between larger contractors and small, minority-owned businesses is not just beneficial it is essential. As we navigate the complexities of our city's development and procurement processes, fostering these partnerships opens doors to new opportunities and strengthens our economic fabric.

Joint ventures and subcontracting also promote equitable economic growth, helping to level the playing field for businesses that may have historically faced barriers. This approach fosters a more inclusive economy, where every business regardless of size or ownership has the opportunity to thrive and contribute to our city's prosperity.





The group discussed the following issues that local governments should consider during the procurement process for local public services:

## What do the citizens need? Preparation and planning

The first question to address is “what do we need”. In the case of cities, most procurement processes start with a Data-Driven Analysis. Conduct assessments to identify community needs based on demographic data, surveys, and local trends not of the local government per se, but the need of the people living in it. Understanding the needs of the community is the first thing that we need to get right here.

The following issues were discussed:

- Planning for procurement: identifying and assessing the needs that the contract will be addressing. What is the problem that needs to be solved?
- Establishing feasible deadlines, most procurement process run late, plan for a timeline that includes possible delays and set a realistic calendar.
- Writing proper and complete Terms of reference where the provider can clearly understand the requirements.
- Define specific deliverables in detail.
- Think ahead about the evaluation criteria.
- Calculating an estimated budget and a reliable cost-analysis, including the number of items, the breakdown of elements or units that needs to be budgeted. What are going to be the maintenance implications?
- The Christmas tree budget, how to foresee costs that go beyond estimations and prepare for it.
- Participation, including consultations with the final users in contract negotiations and design.
- Managing conflict of interest and due diligence.

### DO

### DON'T

#### Preparation and planning

Effective procurement begins with thorough preparation and planning, laying the foundation for successful sourcing and supplier relationships. Investing time in these initial stages, ensures the alignment with strategic goals and the mitigation of risks to achieve optimal value.

#### a. Developing a comprehensive procurement plan

The procurement plan should begin with a clear determination of the financial resources available for procurement. Establishing a realistic budget is key for prioritizing needs and ensuring that procurement aligns with the municipality’s goals and financial capabilities.

Don't proceed without clear, measurable objectives. A lack of defined goals can lead to an ineffective procurement strategy.



The procurement plan should also include a well-defined timeline, outlining key milestones in the procurement process. This timeline will help manage expectations and will ensure that all parties involved are aware of deadlines and deliverables. Ample time should be allocated for the procurement process.

Don't establish unrealistic timelines, this can lead to hasty decisions and compromised quality.

## **b. Needs assessment**

Identify and engage all relevant stakeholders and end-users, such as municipalities and decision-makers, from the outset to understand their needs and concerns. This approach ensures that the goods or services procured will meet the actual requirements of those who will utilize them.

Don't rush through the needs assessment stage, taking the time to thoroughly understand requirements is crucial for successful procurement.

Validate any assumptions made during the needs assessment with data and stakeholder feedback to ensure accuracy.

Don't neglect the input and feedback from stakeholders, as this can lead to incomplete or inaccurate needs assessment.

Clearly define needs by outlining precise specifications, detailed quality standards, quantities, and requirements for the items or services to be procured.

Consider future growth and potential changes in requirements to ensure that the procurement can accommodate evolving needs.

Identify / consider adjacent policy goals that can be achieved through the procurement process.



Looking for the perfect counterpart

Procurement is the process that identifies a provider that will provide a service/ goods, or, in the case of municipalities, offer the service on their behalf. Finding an efficient, reliable supplier, providing best value for money will be the final objective of the procurement. In many cases, service provision will be jointly offered with other city services. It is more about establishing a partnership than simply procuring the service in the market. The relationship between the organization and the supplier should be actively managed and maintained throughout the entire contract duration.

The following issues were discussed:

- Looking for the perfect counterpart: researching the market (local and international), open competition vs. direct contracting (pros and cons), when the private sector does not exist, identifying providers in special circumstances. Partnerships vs Procurement.
- Negotiating contracts: what happens when the parties have different capacities and power.
- Debriefing partners after selection, how debriefing can help providers improving their offers and build local capacity.

| DO                                                                                                                                                                                                                                                                                                                 | DON'T                                                                                                                                                                                                                                                       |
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| <b>Looking for the perfect counterpart</b><br>Selecting the right supplier is essential for building strong relationships and achieving your procurement objectives. A strategic relationship with the supplier will contribute to increase value, improve quality, and ensure a long-term organizational success. |                                                                                                                                                                                                                                                             |
| <b>a. Supplier/ Vendor selection</b>                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                             |
| Conduct a comprehensive market research to identify potential suppliers and understand market trends and pricing.                                                                                                                                                                                                  | Never skip the due diligence process when selecting suppliers, as it can lead to poor quality and higher risks of financial loss.                                                                                                                           |
| Advertise effectively to raise awareness among local providers by utilizing local advertising channels, social media channels and forming partnerships with the city council to reach a wider audience and attract the right provider.                                                                             | Don't overlook Total Cost of Ownership <sup>1</sup> by focusing solely on the initial purchase price. Consider the total cost of ownership which, includes maintenance, operation, and disposal costs; neglecting hidden costs can lead to budget overruns. |
| Simplify the procurement process by creating a user-friendly application portal.                                                                                                                                                                                                                                   | Do not compromise on quality to save costs, as it can lead to higher expenses in the long run due to failures and replacements.                                                                                                                             |
| Simplify required documentation and make application requirements more inclusive of small providers.                                                                                                                                                                                                               | Don't make decisions based solely on the lowest price, consider quality and reliability.                                                                                                                                                                    |



Ensure all procurement activities are well-documented to minimize risks, maintain transparency and accountability.

Do not allow one person to have sole responsibility for contracting a high-value product or service.

Consider multiple suppliers, compare their offerings, prices, and terms, to make an informed decision.

Maintain transparency in all procurement activities to build trust and ensure fairness.

Assess suppliers based on multiple criteria such as quality, cost, reliability, and compliance with regulations.

Encourage socially responsible suppliers and consortia working



Contract management and sustainability

Once the provider is selected, the procurement teams’ hand over responsibilities to the programme managers. However, the work is far from over; it has only just begun. Both the selection of the provider and the implementation must go hand in hand. A successful selection must be complemented by effective implementation to ensure that the process meets the initial goal of addressing citizens needs. Contract management, structuring deliverables and payments, controlling outcomes through the contract financial management.

1. Changing/ adding needs, implementing contracts in the long-term when new services are required.

- 2. The impact of digital in public procurement, procuring for digital services and using digital platforms to procure for services, copyrights and intellectual property.
- 3. Sustainability considerations, incorporate sustainability into procurement planning, considering economic, environmental, and social impacts both to the buyer and the provider. Focus on projects that enhance community resilience and adaptability to future challenges.

| DO                                                                                                                                                                                                                                                | DON'T                                                                                                                                                |
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| <b>Contract negotiation</b><br>Contract negotiation is a critical phase in the procurement process, where terms and conditions are finalized to ensure mutual agreement and understanding between the buyer and the supplier.                     |                                                                                                                                                      |
| Ensure that all key terms and conditions of the contract are clearly defined and understood by both parties. Thoroughly review and understand all key terms and conditions of the contract. Missing critical details can lead to disputes.        | Don't overlook contract details. Read things twice. Ask your colleagues to check.                                                                    |
| Ensure compatibility with local and national regulations.                                                                                                                                                                                         | Review and understand all contract terms and conditions to avoid future disputes.                                                                    |
| Agree on clear payment terms which include payment schedules, amounts to be paid, and methods of payments. Also agree on mechanisms for resolving disputes to avoid future conflicts. Failing to do so can result in conflicts and legal battles. | Don't fail to involve key stakeholders in the negotiation process. Their input and approval are essential.                                           |
| Ensure that the supplier offers adequate warranties that provide adequate protection. Make sure the terms are practical and enforceable.                                                                                                          | Don't accept warranties that are too short or too limited in scope.<br><br>Don't fail to clarify the process for claiming warranties and guarantees. |



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| Assess potential risks and liabilities and include provisions to mitigate them.                                                                                                                                                       | Do not permit contract changes that substantially exceed the scope of your original requirements.                                                       |
| Ensure compliance by adhering to all relevant laws, regulations, and organizational policies throughout the procurement process. Consult with legal and procurement experts to ensure that the contract terms are fair and compliant. |                                                                                                                                                         |
| Keep detailed records of all discussions, agreements, and changes made during the negotiation process.                                                                                                                                |                                                                                                                                                         |
| <b>Contract sustainability</b>                                                                                                                                                                                                        |                                                                                                                                                         |
| Define metrics, indicators and baselines thinking on Agenda 2030 as a guide for sustainability                                                                                                                                        | Do not forget to communicate about the contract implementation. The users will understand better if things go wrong.                                    |
| <p>Establish key performance indicators (KPIs) to measure sustainability outcomes, such as carbon footprint reduction or waste diversion rates.</p> <p>Use more circular approaches and reduce reliance on natural resources</p>      | Do not forget that your suppliers also need guidance. Keep constant communication during the contract duration.                                         |
| Aim to reduce transportation distances for goods.                                                                                                                                                                                     | Prevent any potential issue: If you see that something may be a problem, intervene sooner rather than later.                                            |
| Implement reporting mechanisms to track progress toward sustainability goals and share results with stakeholders.                                                                                                                     | Do not forget that the contract needs to serve the local population needs. Go back to the needs assessment and review the performance on regular basis. |
|                                                                                                                                                                                                                                       |                                                                                                                                                         |

# Conclusion



The do's and don'ts in this guideline highlight essential practices that can enhance efficiency, transparency, and accountability in procurement. While this list is not exhaustive, it serves as a foundational guide for effective procurement strategies. For further insights, we recommend referring to best practices and policy documents, such as the [United Nations Procurement Manual](#), and the [World Bank's Procurement Guidelines](#), [OECD's recommendations on public procurement](#) which provide comprehensive frameworks for enhancing procurement processes.

## Examples and references

Check our dedicated website for case studies around the world! This document was peer reviewed by the following contributors:

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